



Daikin Seattle Design Comfort Center Project

Statement of Work (SoW)

Confidential & proprietary prepared exclusively for:

Daikin Comfort Technologies North America, Inc.

Attention: Marc Bellanger | Director of Marketing Communications

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STATEMENT OF WORK

MSA Information

This statement of work (SOW) is executed by Softway and Daikin under the current Master Services Agreement between both parties (Previously Goodman) dated and signed on January March 27, 2017.

Background

Softway will partner with Daikin to build an engaging, interactive and educational experience in the Seattle Design Comfort Center.

Softway's key role as partner in this project will be to concept and deliver engaging storytelling, create various forms of interactive and educational content, design and develop interactive experiences and oversee the installation and setup of related AV hardware and controls.

Project Scope

Zone Specific Items	Deliverables
Entrance	• Softway will manage the procurement, installation, setup and make product work for the Globe attraction ◦ 360 degree video content • Left screen - "Who We Are" Daikin story video • Right screen - Sustainability video • Presumed hardware: 32" Digital Globe and projector, globe tablet controller, Crestron system, sound, PC, Brightsign player, two (2) 85" displays and mounts
Living Room	• Infographic with motion elements showcasing Seattle Center with high level takeaways and summarized product details • Presumed hardware: 55" touchscreen display, sound, Crestron system, Brightsign player, PC and display mounts
Home Office/Bedroom	• 365 Days of Comfort video • Presumed hardware: One (1) 55" display, wall projector, Crestron system, Brightsign player and display mounts
Heat Pump	• Heat pump benefits video • Cold weather experience

	Presumed hardware: One (1) 55" display, wall projector, Crestron system, sound, brightsign player and display mounts
VRV	- Custom VRV Life experience and on touchscreen - Presumed hardware: One (1) 32" touchscreen display, computer, Brightsign player & display mounts
IEQ	- AR Interactive experience with various content including: materials covering IEQ and related products, current indoor environmental conditions in Seattle homes and Air quality themed content. 9 Elements of IEQ information (Re-used from DC, if required) - Presumed hardware: Digital wall (est. 12ftx3ft), camera for AR projection, One (1) 55" display, speakers, Brightsign player, PC and display mounts
Decarb & Inverter	- Experience of units performing and showcasing the Inverter vs. Non-Inverter data and efficiency / energy savings benefits. - Right screen: Inverter/Individual comfort story - Presumed hardware: One (1) 55" display, two (2) 42" displays, Crestron system, sound, brightsign players & mounts
Discovery Area	- Enlarged interactive thermostat display - Presumed hardware: One (1) 55" touchscreen display, Brightsign player, PC, mounts & One (1) Tablet for the "at the counter" consultation. Brand TBD
General Items	Deliverables
Content Management System & Controls	- Softway will implement one (1) off the shelf CMS solution for content control and management (BrightSign CMS). - Softway will create control options at each station, allowing the person to Start, Stop and loop the content. - A master control device (Wall mounted and portable) will be supplied and set up for overall Info center control. (Creston or other comparable product).
Project, Training & Documentation	- Softway will produce one (1) document outlining all stations - How to use guides including how to leverage the content management system. - Softway team will take nominated Daikin stakeholders through live-walkthroughs and training in the month or prior to launch.
Travel	- Softway and AV Vendor will plan to travel to Seattle 2-3 times within the project timeline specified dates - Travel dates TBD

Project planning & management	• Softway will complete and provide one (1) project plan for the project and share this deliverable at the project kick off meeting. • Softway's project manager will own the project plan for Softway's scoped deliverables and adjust and manage accordingly.
Coordination with Daikin's panel of 3rd party vendors	• General project management and coordination between Softway Daikin selected vendors for each station & construction needs. • General communication, information sharing, meeting and alignment with IA, Skyline and other Daikin vendors.
Support and Procurement for AV & Vendor Collaboration	• Softway will manage and contract the AV vendor for related AV services. • Softway will lead creative, software and AV services, and collaborate with Daikin vendor's relating to construction, electrical, mechanical and exhibit building.
Project, Training & Documentation	• Softway will produce one (1) document outlining all stations, how to use guides including how to leverage the content management system. • Softway assumes 2-3 trips to Seattle will be required. • Softway team will take nominated Daikin stakeholders through live-walkthroughs and training in the month of launch.

Project Timelines

Softway targets completing all non-hardware deliverables on or before September 31, 2023. Softway presumes that hardware installation and setup will occur in the month of August/September 2023 before a September/October opening date.

The below are high-level dates and target milestones for the project:

- Project commencement – January 2023
- Creative strategy - January/February 2023
- Content creation and execution by October 2023
- Hardware installation, configuration, and testing by September 2023
- Support and training for soft launch by October 2023

The above timelines are estimates based on initial conversations and client needs. Upon project commencement, Softway will provide and manage a project plan—and revise milestones accordingly

Timelines are subject to change based on Daikin priorities, 3rd party product availability and / or performance of additionally appointed Daikin vendors.

PROJECT BUDGETS

Total Project - Estimated Investment Budget

Budget

- Creative Services—Creative strategy & content creation
- Technology Services—Development & Implementation
- AV Services—Supply and install
- Travel expenses

\$955,000.00
+ Taxes

*Assuming the project scope remains unchanged, the investment budget is not to exceed the above listed amount unless approved by Daikin.

Invoicing & Payment Terms

Payment Schedule

Payment Milestone 1 (50%) – Due upon SOW execution

- Invoice amount -\$477,500 plus any applicable taxes.

Payment Milestone 2 (25% of Budget) – On or Before June 1, 2023

- Invoice amount -\$238,750 plus any applicable taxes.

Payment Milestone 3 (25%) – On or Before September 1, 2023

- Invoice amount -\$238,750 plus any applicable taxes.

Payment Terms

Client shall have Net 14 days from date of invoice to make payment on all other invoices provided by Softway. ACH Payment is preferred. Check is available (If required).

Additional Invoices

Additional invoice/s may be issued to support additional work, effort and / or expenses required to deliver the project. No new or alternate works that create additional expenses will commence without written approval from the client.

OBLIGATIONS

Softway Obligations

1. Assign a Project Manager (Lead) as the single point of contact for issue resolution, activity scheduling, and information collection and dissemination.
2. Fulfill the requirements of this SOW.
3. Collaborate as required with Softway and / or Daikin vendors to fulfill the SoW.
4. Provide weekly status reporting as defined in this SOW (If applicable).
5. Project plan and manage all deliverables of this SoW.
6. Manage AV Vendor and all associated AV deliverables.

Daikin Obligations

1. Assign a Project Owner (Lead) as the single point of contact for issue resolution, activity scheduling, and information collection and dissemination.
2. Provide access to relevant subject matter experts (SME's) for technical and/or collaborative support (As required).
3. Provide access to "Client" systems and networks as necessary to perform the services during normal business hours, or at mutually agreed times.
4. Review and accept/reject work with reasonable comments sprint.
5. Proactively manage and hold Daikin's 3rd party partners accountable for commitments and performance. Examples include SME's, GC, Electricians, Design Partners and other miscellaneous vendors.

Mutual Obligations

1. Team/s will support and based on to be determined events and team needs (Based on situational circumstances), collaborate through regular meetings.
2. Team/s will participate in some form of weekly or bi-weekly, fortnightly and / or monthly project meeting at a mutually agreed time to discuss the project status, issues, requirements, challenges, and overall project satisfaction.
3. Support and provide sufficient representation at these vendor meetings, which will cover updates, schedule updates, pending changes, open issues, and action items.
4. Support and follow all practices, processes and procedures defined for this project
5. Work in a collaboratively manner to solving problems, working towards common goals and demonstrate teamwork with all stakeholders to support the project's goal and truly work in partnership

MANAGING CHANGE

Change Management Overview

Parties recognize that there may be changes required to the scope throughout this project. Change will be accommodated based on priorities as set by mutual agreement between parties.

No changes shall be made to the predefined project scope without assessing the possible impacts to cost and or timelines, and without mutual agreement by both parties in writing (email is sufficient).

Parties understand that frequent change can and likely will impact budget and project timelines. Softway reserves the right to request additional fees when changing project needs arise and / or the scope of the project increases.

Parties will use common means and leverage standard project change controls should project change arise. Project controls / change management is outlined in the project kick off meeting and documented outside of this SoW.

WORK LOCATIONS

Primary Locations

Softway's primary place of work will be the following locations across our offices in Sugar Land, Houston, USA and Bengaluru, India.

- *Softway Houston Office: 126 Eldridge Rd Suite A, Sugar Land, TX 77478*
- *Softway India Office: 2nd Block, HRBR Layout, Bengaluru, Karnataka 560043, India*
- *Softway team members may also work remotely—Throughout the US or globally.*

Daikin Locations

Based on project and client needs, Softway will at times work closely with the Daikin team at the following locations:

- *Daikin DTTP (Office: 19001 Kermier Road, Waller, TX, 77484 (When required)*
- *Daikin Seattle Design Center, Seattle, USA (As required)*

PROJECT SPECIFIC ASSUMPTIONS

The following general assumptions, terms and disclosures shall apply to this agreement.

Stakeholder Collaboration & Management

- Parties agree that outside stakeholders are key to a good working partnership. External partners of Daikin who play a key role in delivering project needs and is the responsibility of Daikin to manage.
- Softway will collaborate and work accordingly to partner with all Daikin stakeholders and partners in this project.

Content Management System

- Softway will be purchasing and setting up a CMS license for BrightSign to stop, start and loop all stations.
- Project fees do not include renewal of services or purchasing of any other software / cloud tools that BrightSign has to offer.
- Additionally, a main wall mounted control unit (Crestron Unit) will be purchased, installed and set up to oversee and control the facility in its entirety. It will be portable for such use cases of touring the facility in a group setting.

Daikin Vendors & Management

- Daikin is responsible for managing their contracted parties and will be responsible for leading such vendors including construction (GC), electrical, exhibit display and / or other items not included in Softway's scope.

Timelines

- Any estimated timelines are non-binding and are for client's convenience only.

Global Supply Chain Constraints

- Softway and AV Vendor will use best endeavors to source, supply and install scoped items in a timely manner however due to current global supply chain challenges, material delivery dates are unpredictable, often requiring product substitutions and/or resulting in shipment delays.
- If these conditions result in schedule delays or cost adjustments, Softway will communicate these changes to the client as they occur.

Demo & Usability Testing

- Softway anticipates being onsite up to one week to do site demonstrations, station usability walk throughs and pre-setup before the Info center is ready for public viewing.

Out of Scope Items

- GC Management
- Design of center / printing / Wall art / Materials
- Skyline Exhibit Construction
- Electrical & Lighting

Contract Rates (For Delays or Changes)

- All US based labor is billed at \$175.00 plus taxes
- All India based labor is billed at \$100.00 plus taxes

Content Design - Reviews & Revisions

- All work produced assumes up to 2 days for feedback / approvals
- All work produced assumes a maximum of 2 rounds of revisions
- Direction / strategy of key videos will be confirmed at Storyboard review cycles. Changes made to the video/s post storyboard will incur additional fees
- Client acknowledges and will coordinate key stakeholders to be a part of review meetings, or at least available at planned work review sessions to ensure project delays do not occur due to unavailability of SME's or key stakeholders.

COVID 19

- Parties agree that COVID-19 has materially impacted the way the world works and has the potential to impact deliverables in the SoW. Parties shall hold the other harmless for delays or expenses relating to the current, or future impacts of COVID-19.

Sub-Contractor for AV Services

Softway will contract the following entity as part of a sub-contracting services arrangement for all AV services. L-D systems will warrant equipment and services work per the below.

**L-D Systems, L.P C/O Mike Mecum
407 Garden Oaks Blvd Houston, Texas 77018**

Work by Others

Daikin and Softway agree that various works will be completed by other parties. Softway and its AV vendor shall provide specifications to Daikin for the wiring to be done by the Daikin's site electrician.

Said specifications shall be for electrical wiring to properly power the system, and for associated wiring pathways, electrical back-boxes and/or conduits from any one equipment location to other equipment locations. If the wiring pathways and back-boxes are not provided as specified then labor and material pricing may change.

For AV services, Softway shall furnish all materials, equipment, and personnel necessary to effect the complete installation of the system, WITH THE EXCEPTION OF electrical power wiring and cabling conduit systems as necessary.

All charges for the above mentioned wiring and conduits as well as their installation, shall be at the sole expense of Daikin.

It is expressly agreed and understood that failure by Buyer to provide the Work By Others as stated above may adversely affect the final date of completion as stated in the scope (August 31, 2023).

PROJECT SPECIFIC WARRANTY & INDEMNITIES

Equipment Warranties

Softway vendor (LD systems) warrants all equipment to be initially free from defects in materials. Workmanship is warranted for a period of one year from completion. individual warranties will be honored by Seller or manufacturers' warranty service centers to their fullest extent. All warranty work done on any equipment is preferred to be the responsibility of Softway—and its vendor. All warranty repairs shall be made at no cost to Daikin. Non-warranty repairs will come at a cost and require client approval before proceeding with.

AV Equipment Indemnity

Daikin shall indemnify, defend, and hold harmless Softway employees, agents, officers, members, partners, successors, and assigns from any and all claims caused in part or in whole by the negligence or other fault of AV Vendor or other contractors, suppliers, and subcontractors. In the event of a warranty claim, will seek resolution directly with the AV entity listed above (L-D Systems)

AV travel & freight

Proposal includes estimated freight charges—Fees are subject to change based on market timings.

Signatories

IN WITNESS WHEREOF, the parties have caused this Contract to be executed and do each hereby warrant and represent that their respective signatory whose signature appears below has been and is on the date of this Agreement duly authorized by all necessary and appropriate corporate action to exercise this agreement.

Softway Solutions, Inc

Daikin Comfort Technologies North America, Inc.

Signed: Greg Duggin

Signed: 

Name: Greg Duggin

Name: Marc Bellanger

Title: Vice President

Title: Director of Marketing

Date: 03 / 02 / 2023

Date: 03 / 02 / 2023